On 1.1.2019, Pandian died and on his death the following arrangements are made:

(i) Stock to be depreciated by 10%

(ii) Land is to be appreciated by ₹ 11,000

(iii) Reduce the value of debtors by ₹ 3,000

(iv) The final amount due to Pandian was not paid

Prepare revaluation account, partners' capital account and the balance sheet of the firm after death.

Solution

Dr. **Revaluation Account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Stock A/c		2,000	By Land A/c	11,000
To Debtors A/c		3,000		
To Profit on revaluation transferred to				
Sundar's capital A/c (3/6)	3,000			
Vivek's capital A/c (2/6)	2,000			
Pandian's capital A/c (1/6)	1,000	**6,000**		
		11,000		11,000

Dr. **Capital Account** **Cr.**

Particulars	Sundar ₹	Vivek ₹	Pandian ₹	Particulars	Sundar ₹	Vivek ₹	Pandian ₹
To Profit and loss A/c	3,000	2,000	1,000	By Balance b/d	50,000	40,000	10,000
To Pandian's Executor A/c			16,000	By General reserve	18,000	12,000	6,000
To Balance c/d	**68,000**	**52,000**		By Revaluation A/c (profit)	3,000	2,000	1,000
	71,000	54,000	17,000		71,000	54,000	17,000
				By Balance b/d	68,000	52,000	

12th-Accountancy-Unit-06.indd 211 12/12/2021 12:26:44 AM